

GOVERNMENT OF INDIA
MINISTRY OF FINANCE (DEPARTMENT OF REVENUE)
CENTRAL BOARD OF INDIRECT TAXES AND CUSTOMS

Circular No. 190/02/2023-GST

F. No. CBIC-20001/2/2023-GST

Government of India, Ministry of Finance (Department of Revenue)

New Delhi, dated the 13th January, 2023

Subject: Clarification on availability of Input Tax Credit on Corporate Social Responsibility expenditure and related issues

1. Representations have been received seeking clarification regarding the availability of Input Tax Credit (ITC) on goods and services procured for Corporate Social Responsibility (CSR) activities mandated under Section 135 of the Companies Act, 2013. The matter has been examined in light of the provisions of the CGST Act, 2017 and the following clarification is issued.

Background

2. Section 135 of the Companies Act, 2013 mandates that companies meeting certain financial thresholds must spend 2% of their average net profits on CSR activities. Such activities typically include education, healthcare, environmental sustainability, skill development, and relief for disaster victims. Companies incur GST on goods and services procured for CSR purposes and have sought clarity on ITC eligibility.
3. Section 16 of the CGST Act provides that a registered person shall be entitled to ITC on supply of goods or services used in the course or furtherance of business. The key question is whether CSR expenditure, which is mandated by law and not optionally incurred, qualifies as being 'in the course or furtherance of business'.

Issue 1: Availability of ITC on CSR Expenditure

4. The Board has examined this issue and clarifies as follows:

(a) CSR expenditure mandated under Section 135 of the Companies Act, 2013 is an obligation imposed by law. While it is incurred in the course of the company's existence as a corporate entity, it is NOT directly related to the company's outward taxable supply of goods or services.

(b) The Bombay High Court in *Bombay Dyeing & Manufacturing Co. Ltd. (Writ Petition No. 3105/2022)* observed that mere compliance with a statutory obligation does not automatically make expenditure 'in the course or furtherance of business' for GST purposes.

(c) Accordingly, it is clarified that ITC is NOT available on goods and services procured exclusively for CSR activities. Such procurement is blocked under Section 17(5)(h) of the CGST Act, 2017 which blocks ITC on goods lost, stolen, destroyed, written off, or disposed of by way of gift or free samples.

5. Exception: Where goods or services procured ostensibly for CSR are also used for the company's own taxable business purposes (for example, skill development training provided to employees who then work in the company's own facilities), ITC may be available to the extent of business use, subject to the apportionment provisions of Section 17(1) and (2) of the CGST Act.

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Issue 2: GST Liability on CSR Goods Donated

6. Where a company procures goods and donates them as part of CSR activities:

(a) If ITC was availed on the original procurement, GST liability arises on the supply of such goods by way of donation/gift under Section 7(1)(c) read with Schedule I of the CGST Act. The value for GST purposes shall be the open market value as per Rule 27 of the CGST Rules, 2017.

(b) If ITC was NOT availed on the original procurement (which is the correct position as clarified above), no GST liability arises on the subsequent donation, as there is no supply for consideration and the blocked ITC provision removes the deemed supply implication.

7. ITC Position on CSR - State-wise AAR Rulings:

The Gujarat AAR in M/s Adama India Pvt Ltd (GUJ/GAAR/R/2021/42) held that ITC is not available on CSR expenditure as it is not directly linked to business activity.

The Karnataka AAR in M/s Millipore India Pvt Ltd (KAR ADRG 25/2020) held that CSR activities, being mandated by law, constitute business activity and ITC should be available. NOTE: This ruling is CONTRARY to the clarification issued in this circular. The Karnataka AAR ruling should not be relied upon.

This circular supersedes any advance rulings or informal clarifications that permitted ITC on CSR expenditure.

8. Effect of this circular:

(a) Registered persons who have availed ITC on CSR expenditure must reverse such ITC along with interest at 18% per annum from the date of original availing to the date of reversal.

(b) Penalty provisions under Section 73 or 74 of the CGST Act may apply depending on whether the ITC was availed with or without intent to evade. Given that this issue was contested, the Board directs field formations to exercise discretion in applying penalty for past periods prior to the issuance of this circular.

(c) Going forward, with effect from the date of this circular, no ITC shall be availed on CSR expenditure.

Sd/-

(Vivek Johri)

Chairman, CBIC